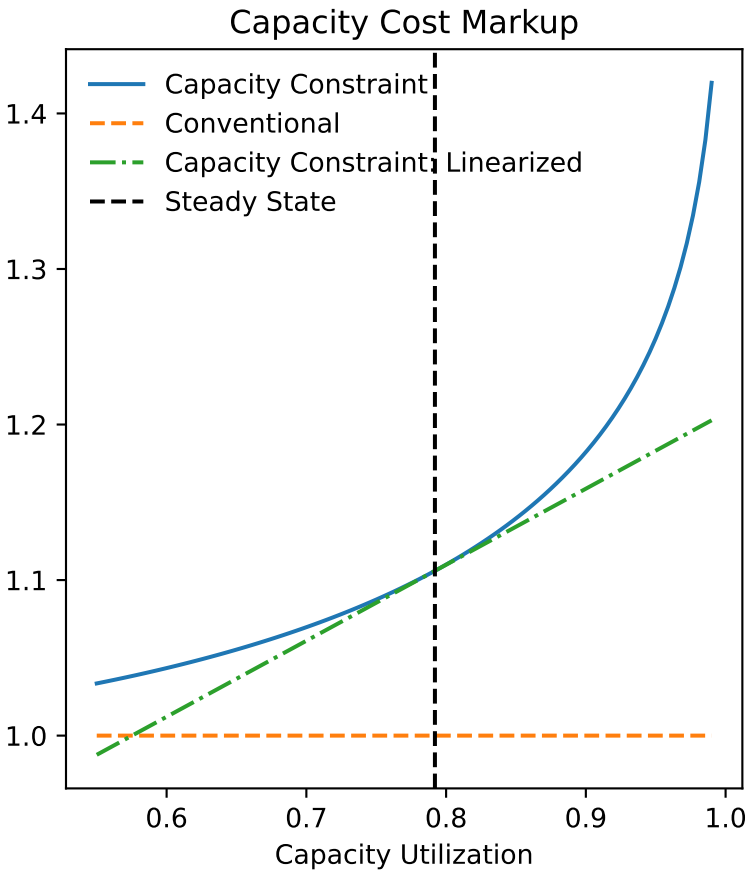
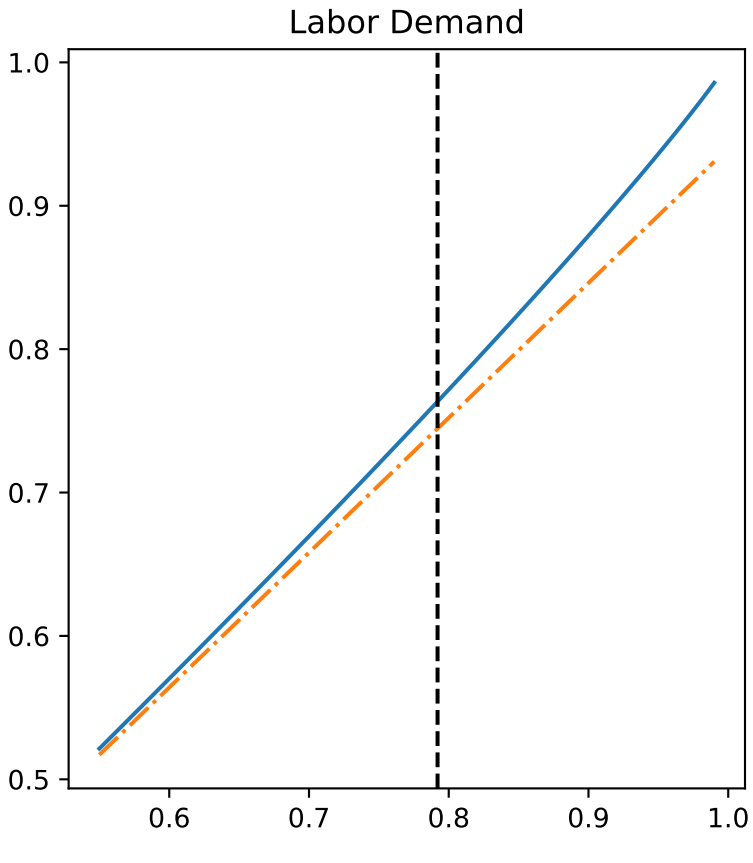

Capacity Cost Markup
Capacity Constraint
Conventional
Capacity Constraint: Linearized
Steady State
1.4
1.3
1.2
1.1
1.0
0.6
0.7
0.8
0.9
1.0
Capacity Utilization


Labor Demand
1.0
0.9
0.8
0.7
0.6
0.5
0.6
0.7
0.8
0.9
1.0